

Digital Authentication Framework (DAF) FAQs

OVERVIEW

The direction of commerce is clear – digital adoption continues to rise with many more payments being performed online. As digital commerce accelerates, there is a need to increase the adoption of tools to keep the eCommerce experience secure and easy-to-use for all players in the payment ecosystem.

Visa aims to provide the same standard of excellence to digital payments as we do with face-to-face (F2F) payments. The Digital Authentication Framework (DAF) is designed to expand the capabilities and requirements that enable merchants to deliver frictionless shopping experiences while ensuring effective fraud management across the primary account number (PAN) and Visa payment token eCommerce transactions.

The Digital Authentication Framework aims to achieve the following objectives:

- Ensure card-not-present (CNP) transactions work as effectively as in the card-present (Chip) environment
- Establish clear criteria for transactions to be qualified as fully authenticated through multiple solutions
- Define performance requirements for issuers, token requestors and merchants to ensure solutions are deployed in an effective manner resulting in a positive user experience
- Develop a structure that works globally while acknowledging regional differences

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FAQS - GENERAL

1) What is the Digital Authentication Framework (DAF)?

The Digital Authentication Framework (DAF) is part of a global initiative, Visa Digital Performance Drive, that is designed to help expand Visa's authentication rules and processing requirements to support a consistent and verifiable set of transaction data that can increase confidence and facilitate risk decisions to help drive increased approval rates and lower fraud.

The DAF builds upon the proven successes of Visa Secure (EMV 3DS) for authentication and Visa Token Service (EMV Payment Tokenisation) for network tokenization. This framework is designed to elevate the performance of merchants' Card Not Present transactions without introducing layers of friction in the customer experience. Specifically, the approach relates to how repeat-use and card-on-file payments are processed and establish a range of performance metrics for all players in the payments chain.

The DAF will apply to PAN and Visa payment token eCommerce transactions. Merchants that meet the DAF criteria on qualified authenticated purchase transactions will receive fraud dispute protection on those transactions (that is ECI 05).

2) Why is the DAF important?

As digital commerce accelerates, there is a need to increase the adoption of tools to keep the eCommerce experience secure and easy-to-use for all players in the payment ecosystem. Digital acceleration highlights opportunities to improve the digital commerce experience, specifically through an increase in digital approvals, reduced friction, and reduced fraud volumes.

Visa created the DAF to help drive improvements in the e-commerce consumer experience, approval rates, and fraud reduction while incentivizing desired behavior by all parties by minimizing friction at the time of transaction through authentication criteria standards. The DAF was introduced to bring consistency to the experience and outcomes through improved data quality, performance requirements, security controls to reduce friction while delivering high approvals and low fraud outcomes by using Visa Token Service (VTS) and EMV 3DS.

3) How does the DAF differ from authentication today?

The DAF uses existing capabilities offered through VTS and EMV 3DS and defines criteria as to how DAF transactions should be processed. DAF transactions are managed to specific performance measures which are designed to encourage strong fraud management controls, facilitate fraud dispute protection for merchants whilst driving reduced cardholder authentication friction.

4) Does the DAF affect existing fraud dispute rules for EMV 3DS? If not, why would I want to process my transaction under DAF?

The DAF does not affect existing fraud dispute rules for EMV 3DS. When a transaction qualifies for the DAF, it continues to receive an ECI 05 and a cryptogram, qualifying the merchant/acquirer for fraud dispute protection. The DAF enhances EMV 3DS through controls to incentivize a reduced-friction customer experience, whilst establishing authentication criteria standards.

5) How does Visa qualify a transaction under the DAF?

To qualify under the DAF, a transaction must have each of the following criteria:

- **Authenticated Payment Credential (APC):** A payment credential uniquely associated with the registered merchant or token requestor where the issuer has confirmed the authenticity of the Payment Credential through issuer identification and verification (ID&V).
- **Successful Dynamic Cardholder Verification Method (CVM)¹:** Verification performed at time of purchase by a Visa-certified party i.e., registered merchant or token requestor using a Visa approved CVM method (e.g., biometric, EMV 3DS, risk-based authentication, and other Visa Ready defined methods).

Please reference the Visa Ready Program requirements and the Visa Secure Program guidelines for a list of approved CVM methods.

- **Enhanced Transaction Data:** Enhanced transaction data provided by the merchant or Visa-certified third party at the time of purchase and present in every authenticated transaction request to enable a higher accuracy risk-based authentication assessment by the issuer (or Visa on behalf of the issuer). Specific data element requirements will be published in subsequent publications.

Please reference the Visa Secure Program Guide and/or the Visa Token Service eCommerce Card-on-file Implementation Guide for TRs.

- **Authentication Data in Payment Transaction:** Authentication through a Visa-approved protocol or solution (e.g. EMV 3DS, Visa Token Service) that meets the minimum standards for authenticating a Cardholder in an eCommerce transaction and provides an appropriate cryptogram.
- **Satisfaction of Performance Standards:** The DAF includes performance requirements for issuers, token requestors and merchants to help ensure solutions are

¹ A dynamic CVM is one where the data entered by the cardholder is different for each transaction and can be entered into the authentication screen to verify the cardholder's identity. A one-time passcode is an example of a dynamic authentication method.

deployed in an effective manner within the program, which are authentication success rates, authorization approval rates, and fraud rates.

6) What markets currently enable the DAF?²

Issuer Enabled Markets:

The issuer market will determine the applicability of the DAF rules.

- For VTS, issuers in participating markets are required to support the requirements outlined in Question 15 *“What does an issuer need to do to participate?”* by these dates:
 - Effective 23 April 2022 for AP (excluding Bangladesh, India, Nepal, and Japan), CEMEA, EU, and LAC regions
 - Effective 15 April 2023 for US, Canada, and Japan
- For EMV 3DS, issuers in Europe, AP (except Bangladesh, India, Nepal and Japan), CEMEA and LAC regions were auto-enrolled in the DAF on April 15, 2023.³ Effective 15 April 2023, Japanese issuers are able to participate in the DAF and will be auto-enrolled in April 2024.

Merchant Enabled Markets:

Merchants in Europe, AP (except India, Nepal, Bangladesh and Japan), CEMEA, LAC, Canada, and US regions will be able to participate in the DAF starting 23 April 2022. Merchants in Japan are expected to be able to participate in the DAF starting 15 April 2023. Merchant participation in the DAF is optional and subject to meeting the program requirements once in the program.

- Merchants using EMV 3DS will be required to register via their acquirer and will be assigned a Visa approved merchant identifier (VMID).
- All token requestors will need to open a project to participate in the DAF. In addition, token requestors will be required to register to participate in Europe.
- Merchants participating in Visa Token Service (VTS) either directly as a TR, or via a Visa-authorized TSP) can meet the DAF Program requirements by supporting Cloud Token Framework (CTF) directly or through third party providers.

² Dates provided are based on current expectations and may be subject to change at the sole discretion of Visa.

³ Further information about the auto-enrollment of EMV 3DS BINs can be found in Article 3.2 of the *April 2023 and July 2023 VisaNet Business Enhancements Global Technical Letter and Implementation Guide*.



Digital Authentication Framework Fraud Dispute Rules⁴

The DAF fraud dispute rules will apply to the following regions effective 23 April 2022 and to US and Canada from 15 April 2023.

Issuer Region	Merchant Location ⁵
Europe	Europe
AP (except Bangladesh, India, Nepal and Japan ⁶)	AP (except Bangladesh, India, Nepal and Japan ⁶)
CEMEA	Canada ⁷
LAC	CEMEA
	LAC
	US ⁷

Merchant registration details for merchants are available on Visa Online ([VOL](#)) .

7) What is an Authenticated Payment Credential (APC)?

An APC is established when the issuer has confirmed the authenticity of the payment credential through issuer identification and verification (ID&V). Upon the successful authentication of a cardholder, an APC is established on the solution used. Note that an APC is unique to the solution used.

An APC can be revoked due to fraudulent activity or extended period of inactivity. Additional information on compromised token or credential can be found in the following documents on VOL:

- VTS: [Table 4-2: Token Management Practices] of the *Issuer Best Practices and recommendation for Credential-on-File and e-Commerce Tokens on VOL*
- EMV 3DS: [Appendix C: Authenticated Payment Credential (APC) Lifecycle Management] of the *Visa Digital Authentication Framework 3-D Secure Implementation Guide for Issuers*, Version 1.3

⁴ Both issuer and merchant participation are required for a transaction to qualify under the DAF.

⁵ Please note, merchant jurisdiction will be determined at authorization.

⁶ For VTS, Japanese issuers will need to support TAVV DAF transactions as of 15 April 2023.

For EMV 3DS, Japanese issuers will be able to participate starting on 15 April 2023 and be required to support DAF transactions by 13 April 2024.

⁷ North American merchants will be able to enroll in the DAF for cross border transactions.



8) How and why are non-payment authentication (NPA) requests in EMV 3DS used under the DAF?

For EMV 3DS, NPA are used in the DAF to:

- Request that an APC be created outside of a payment flow. For example, a merchant may opt to create an APC when a customer adds a new PAN to their merchant account, prior to the first purchase attempt.
- Enable merchants to check the status of an APC by sending a NPA as part of an EMV 3DS Requestor Initiated (3RI) authentication and including the DAF extension.⁸

9) What transactions are supported on the DAF at this time?

VTS and EMV 3DS:

- Cardholder-initiated e-commerce and account funding transactions are supported on the DAF.

Not Supported:

- Merchant-initiated transactions (MITs) are not supported on the DAF.

10) Will the DAF indicator be available on Visa Resolve Online (VROL) for dispute processing?

The DAF indicator is not available on VROL.

11) Will the DAF indicator be available on Visa Risk Manager (VRM)?

The DAF indicator is available on VRM.

12) Will testing be required to participate in the DAF using EMV 3DS?

As the DAF test cases are available on the Visa Secure Test Suite (VSTS), no separate testing is required to participate in the DAF when it becomes available.

Starting April 15, 2023, all 3DS Product Providers will be required to pass EMV 3DS DAF test cases as part of EMV 3DS 2.1 and 2.2 software certification in addition to current mandatory

⁸ Refer to Section 2.4 and 2.5 in the *Visa Secure – Issuer Implementation Guide for EMV 3-D Secure* for more details.



EMV 3DS test cases.^{9,10} The DAF testing status of ACS and 3DS servers will be included in the Visa EMV 3DS approved vendor list.¹¹

13) Will testing be required to participate in the DAF using VTS?

Issuers on the acceptance side are required to test to participate in the DAF via VTS. Please refer to Table 3.1.G in the April 2022 and July 2022 Visa Net Business Enhancement Global Technical Letter and Implementation guide and to Table 3.1.E in the April 2023 and July 2023 Visa Net Business Enhancement Global Technical Letter and Implementation guide for details.

14) What is the pricing for the DAF?

Authentication service fees have only been announced in some regions. Please review the following Visa Business News articles for more fee information:

- CEMEA (Excluding CISSEE): "Expansion of Visa Authentication Pricing in CEMEA," Visa Business News, 28 October 2021 (AI11565)
- CEMEA (CISSEE): "New EMV 3DS Pricing and Expansion of Visa Authentication Pricing in CEMEA," Visa Business News, 28 October 2021 (AI11566)
- Europe: "Launch of Digital Authentication Framework in Europe," Visa Business News, 16 September 2021 (AI11384)
- LAC: "Digital Authentication Framework Pricing Will Be Introduced in LAC," Visa Business News, 15 December 2022 (AI12596)

ISSUERS

15) What does an issuer need to do to participate in the DAF?

For transactions via the Visa Token Service (VTS)

- Enrollment is automatic for each issuer in a participating region supporting CTF from 23 April 2022 and 15 April 2023 for US and Canada. For additional details, refer to Question 6 "What markets currently enable the DAF?"

⁹ Currently, there is not an option to test specific sub-sets of tests as part of any recertification or implementation effort.

¹⁰ 3DS Product Providers are not required to certify DAF capabilities prior to the expiration of their existing Visa Letter of Approval. 3DS Product Providers can check the expiry of their existing Visa Letter of Approval on [Visa Technology Partner website](#).

¹¹ There will not be a separate fee for the DAF test cases. Existing VSTS fee will apply. Refer to VBN titled "Visa Secure Updates and EMV 3DS Test Suite Fees Will Be Introduced" (Article ID: AI10980) for details.

- Issuers are reminded of the October 2020 CTF mandate. Testing is required as stated in response to Question 12 *“Will testing be required to participate in the DAF using VTS?”*.¹²
 - European issuers have additional requirements – please refer to the Europe FAQ’s available on Visa Online. The “Verification Data” field (F123) is mandatory if an issuer has already subscribed to this field.¹³
- Issuers are strongly recommended to recognize the new the DAF indicator in the “Acceptance Environment Data field” (F34 - DSID 01- Tag C0 - Authentication Program) and additional device related data captured by the token requestors in the “Information Usage 2” field (F125) in authorization.
 - Issuers that are activated to receive F125 for ISO provisioning and notification messages - must be prepared to receive this field in Authorization and Purchase messages. API issuers will need to request activation for F125.

For transactions via EMV 3DS

- After 15 April 2023, all issuers in participating regions are required to support the DAF and will be automatically enabled for the DAF. Refer to Question 6 *“What markets currently enable the DAF?”* for additional details. To support the DAF transactions, issuers must:
 - Support EMV 3DS v2.1 or later. Support for EMV 3DS 2.2 or above is required if support for Visa Delegated Authentication Program (VDAP)¹⁴ is needed.
 - Support CAVV usage 3, Version 7 – Including support for the DAF specific indicator.¹⁵
 - Support EMV 3DS DAF message extension in the authentication layer.
 - Perform testing, once available. Refer to Question 12 *“Will testing be required to participate in the DAF using EMV 3DS?”*.

Issuers are strongly encouraged to receive TLV Field 34 in the authorization request to receive the Authentication Program tag in authorization and purchase request messages. This tag will identify transactions that are authenticated as part of the DAF and this response is returned to the acquirer receiving the DAF indicator and issuer authorization decision.¹⁶

¹² Refer to Table 3.1.G in the *April 2022 and July 2022 Visa Net Business Enhancement Global Technical Letter and Implementation guide* for details.

¹³ Issuers, who are currently activated to receive the TAVV in Field 126.9, are advised that Visa will no longer send the TAVV to issuers in Field 126.9 – Usage 3: 3-D Secure CAVV, Revised Format for token card-no-present transactions. Visa recommends issuers that participate in VTS activate to receive TAVV results in Field 123, Usage 2 – Verification & Token Data (TLV Format), Dataset ID 67- Activation Verification Data, Tag 08 – Token Verification Result Code.

¹⁴ VDAP is an EU specific program with separate registration and qualification requirements. Please refer to the VDAP implementation guide on VOL for details.

¹⁵ Refer to Table E-2 in the *Visa Secure Cardholder Authentication Verification Value Guide* for details available on [VOL](#).

¹⁶ Issuer support for F34 is required in the Europe region.

In both cases

- Issuers must support changes to dispute processing to recognize transactions that qualify for fraud liability changes under the DAF.
- Issuers should modify risk models in authentication and authorization to use new data provided and update authorization decision and risk management practices.
- Issuer performance requirements also apply from 23 April 2022.¹⁷

For details, please refer to

- Article 3.1 in the October 2020 and January 2021 VisaNet Business Enhancements Global Technical Letter and Implementation Guide, Effective: 10 September 2020.
- Article 3.3 in the October 2020 and January 2021 VisaNet Business Enhancements Global Technical Letter and Implementation Guide, Effective: 5 September 2020.

16) What is the process of enrolling BINs in EMV 3DS for the DAF?

Effective 15 April 2023, all issuer BINs participating in EMV 3DS, excluding Japanese issuers, will be enrolled in the DAF.

For Japanese issuers, to participate in the DAF prior to April 2024, issuers should use their existing EMV 3DS process (i.e. client information questionnaire, card range file) to update their BIN settings. Please reach out to your Visa representative to activate your BIN for the DAF prior to April 2024.

17) Will Visa stand in for issuers that are not ready to support the DAF in EMV 3DS after April 2023?

If the issuer is unable to respond in accordance with the DAF program rules, Visa may stand in for issuers and the issuers will assume fraud liability, like attempts processing under current EMV 3DS rules. Details are available in the EMV 3DS DAF Visa Attempts Processing & April 2023 DAF EMV 3DS Activation Date section in *Visa Digital Authentication Framework 3-D Secure Implementation Guide for Issuers* available on [VOL](#).

18) Will issuers have access to enhanced data?

Yes, issuers will receive enhanced data to help them make more informed authentication and authorization decisions. The enhanced data for the DAF transactions using VTS will be provided in the authorization message in F123 and F125.¹⁸ Issuers will receive the additional data elements in the authentication request for the DAF when using EMV 3DS. The

¹⁷ US and Canadian issuers are not subject to the DAF performance program requirements.

¹⁸ Issuers are required to support F123, while F125 is an optional subscription.



Authentication Program tag will also be available in F34 in the authorization request for VTS and EMV 3DS transactions.

19) How will the issuer validate a CAVV created by Visa?

When the issuer ACS generated the CAVV, the issuer should be able to validate the CAVV. When Visa steps in for the issuer as part of attempts or stand-in authentication processing and generates the CAVV, only Visa is able to validate the CAVV but will pass on the results of the CAVV validation to the issuer in the authorization message.

20) How will issuers differentiate DAF transactions?

For both VTS and EMV 3DS, issuers can identify DAF transactions by looking at the "Acceptance Environment Data field" (F34 - DSID 01- Tag C0 - Authentication Program) for a value of "1" to indicate a DAF transaction. The tag will not be present if it is not a DAF transaction.

21) Will issuers be notified of DAF qualified merchants or token requestors?

Visa will not be notifying issuer of DAF qualified merchants or token requestors. Refer to Question 21 "*How will issuers differentiate DAF transactions?*" for how to identify a DAF transaction.

22) In EMV 3DS, how will issuers know when a transaction needs to establish an APC?

For EMV 3DS, the Visa Directory Server (DS) will provide the "Authenticated Payment Credential Status" in the DAF extension as part of the authentication request (AReq). When the "Authenticated Payment Credential Status" is "N", the issuer can present a challenge to establish an APC.

23) In EMV 3DS, how will issuers identify a transaction that cannot be challenged?

Once an APC is established, which will be indicated by a "Y" in the "Authenticated Payment Credential Status", issuers will not be able to challenge further transactions. When the transaction is deemed high risk, the issuer can fail the authentication¹⁹. When the transaction is deemed low risk, the authentication cannot be failed but the issuer may decline the authorization request. For details refer to the EMV 3DS Digital Authentication Framework Extension available on VOL.

¹⁹ In Europe, an Issuer may also fail a transaction when low risk if SCA is deemed to be required.

24) What is the difference between DAF advice and RBA risk score?

EMV 3DS:

- The Visa DS provides the DAF advice based on the RBA risk score when the transaction is submitted in EMV 3DS with an APC and indicates to the ACS whether the transaction must be approved (e.g., low risk) or is up to the issuer's decision (e.g., medium/high risk).
- RBA risk score is an optional EMV 3DS extension provided by Visa DS in the AReq, which uses machine learning algorithms to assign a fraud risk score between 0 and 99 based on cardholder authentication request data elements. Note that risk score is a separate offering from the DAF. For details, please refer to the Visa RBA Score Extension on VOL.

25) In EMV 3DS, if the issuer deems a DAF transaction with an APC as risky, can the issuer fail a transaction?

The DAF advice will be provided via the DAF extension.

If the DAF advice from the Visa DS is "Must approve", the issuer cannot fail a transaction in the authentication request, except in the case of suspected fraud – more info on question 7 "What is an Authenticated Payment Credential (APC)?". Issuers also have the option to decline the transaction in the authorization request.

- Please note in the Europe region, declines may be permitted in certain circumstances. Refer to Question 10 *"Challenges are not possible in DAF transactions with an Authenticated Payment Credential (APC) via EMV 3DS: what do I do if a Challenge is required for SCA completion on a DAF transaction with an APC?"* in the Digital Authentication Framework (DAF) FAQs – Europe Supplement, available on VOL.
- If the Risk advice from the Visa DS is "Issuer decision", the issuer can fail a transaction in the authentication or decline the authorization request.

26) Is it possible to identify whether the authentication was frictionless or stepped-up during authorization?

Yes. Issuers can receive Field 126.20 (3-D Secure Indicator) in the authorization request to determine the type of authentication performed. Issuers can also inspect [Authentication Method] in position 2 of F126.9 in the authorization request message and refer to [Table E-2: CAVV U3 V7(PA) Subfields for EMV 3DS] of Visa's 3-D Secure Cardholder Authentication Verification Value (CAVV) Guide on VOL.

27) Will the DAF indicator be provided in BASE II clearing messages?

The DAF indicator is not in the BASE II clearing message.



28) What are the DAF performance requirements for issuers?

The issuer performance program rules are effective since 23 April 2022, excluding US and Canadian issuers. Issuers must meet 3 performance requirements:

- A minimum authentication success rate for DAF transactions via EMV 3DS and
- A minimum authorization approval rate for all DAF transactions and
- A maximum fraud rate and fraud amount for all DAF transactions

1) Minimum Authentication Success Rate

The Authentication Success Rate on DAF transactions processed through Visa Secure using EMV 3DS must be 95% or higher.²⁰

The issuer Authentication Success Rate is measured monthly on DAF authentications by dividing the number of successful authentication responses by the total number of authentication requests, minus responses when the merchant chooses to not proceed with a challenge request and minus "Issuer SCA Required" responses for Europe domestic and intraregional authentications as shown below.

2) Issuer Authorization Success Rate

The Authorization Approval Rate on DAF authorizations must be 95% or higher for domestic and 90% or higher for international and intra-regional authorizations²¹. The Authorization Approval Rate is measured monthly on DAF authorizations as shown below.

The Authentication Success Rate is measured monthly on DAF authorizations, by dividing the "approved" and "no reason to decline" authorization responses by the total number of authorization responses by issuer globally minus, for Europe domestic and intraregional transactions, the SCA declines with a VDAP indicator on EMV 3DS transactions and minus the SCA declines on VTS transactions.

$$\begin{array}{lcl} \text{Domestic} & & \text{"Approved" + "No Reason to Decline" domestic Authorization Responses for} \\ \text{Authorization} & & \text{AP, CEMEA, LAC, and EU} \\ \text{Approval Rate} & = & \frac{\text{All domestic Authorization Responses for AP, CEMEA, EU, LAC – SCA} \\ & & \text{Declines with a VDAP Indicator for Europe domestic DAF transactions}}{\text{}} \end{array}$$

²⁰ Visa Digital Authentication Framework Issuer Minimum Authentication Success Rate – AP, CEMEA, Europe and LAC Regions as defined in *Visa Core Rules and Visa Product and Service Rules* Rule ID: 0030915. The authentication rate is calculated as specified in the Visa Secure Program Guide which takes precedence over this FAQ should there be any discrepancies between the two documents.

²¹ Visa Digital Authentication Framework Minimum Issuer Monthly Approval Rates – AP, CEMEA, Europe and LAC Regions as defined in *Visa Core Rules and Visa Product and Service Rules* Rule ID: 0030912. The approval rate is calculated as specified in the Visa Secure Program Guide and in the Visa Token Service – Implementation Guide for Issuer/I-TSP Participation in VDEP Solutions, which take precedence over this FAQ should there be any discrepancies between the FAQ and those documents.



using EMV 3DS – SCA Declines for Europe domestic DAF transactions
using Visa Token Service (VTS)

“Approved” + “No Reason to Decline” international Authorization
Responses for AP, CEMEA, LAC, and EU intraregional and interregional
transactions

International Authorization Approval Rate = -----
All international Authorization Responses for AP, CEMEA, EU, LAC – SCA
Declines with a VDAP Indicator for Europe intraregional DAF transactions
using EMV 3DS - SCA Declines for Europe intraregional DAF transactions
using Visa Token Service

3) Issuer Fraud Thresholds

Issuer global fraud rate and monthly fraud amount must be below the thresholds outlined below for Issuers that participate in the DAF.²²

- USD 500,000 fraud amount per month and
- 0.10% ratio of fraud-to-sales dollar amount

Issuers will be identified as not meeting requirements when both the fraud rate and the monthly fraud amount thresholds are exceeded on fraud activity submitted by Issuers in the preceding calendar month.

29) What happens if an Issuer is above any of the performance threshold requirements?

If the issuer is identified as exceeding any of the performance program thresholds, Visa issues a notification to the issuer that program performance thresholds have been exceeded in the previous month and that it will assess non-compliance fees if the issuer is unable to meet program performance thresholds as defined in Question 28 *“What are the performance requirements for issuers?”*.

The issuer should review the applicable practices to rectify the poor performance. The following schedule for non-compliance assessment fees will apply when an issuer exceeds any of the three performance thresholds listed in question 28 *“What are the performance*

²² Visa Digital Authentication Framework Issuer Fraud Performance Thresholds – AP, CEMEA, Europe and LAC Regions as defined in *Visa Core Rules and Visa Product and Service Rules* Rule ID: 0030917. For clarification on issuer participation, see question 16 *“What does an issuer need to do to participate?”*.



requirements for issuers?”²³ The issuer NCA’s will be effective 15 April 2023 for issuers in CEMEA, Europe, and LAC regions, and 14 Oct 2023 for issuers in the AP region²⁴.

Consecutive Month(s)	Non-Compliance Assessment
Month 1 - 3	Not applicable
Month 4 - 6	USD 25,000 (or local currency equivalent) per month
Month 7 - 9	USD 50,000 (or local currency equivalent) per month
Month 10 - 12	USD 100,000 (or local currency equivalent) per month

Visa may assess, suspend, or waive the DAF issuer non-compliance assessments, in whole or in part, to accommodate unique or extenuating circumstances. The non-compliance assessments will no longer be assessed to the Issuer once it has met acceptable performance levels.

Note that Visa reserves the right to apply the DAF issuer non-compliance assessments following a fee waiver, if the issuer has not upheld the remediation terms.

ACQUIRERS, TOKEN REQUESTORS, MERCHANTS, OR WALLETS:

30) Is participation required for merchants and/or token requestors (TRs)?

No. Participation in the DAF is optional for merchants and TRs.

31) Is participation required for acquirers?

For VTS, with the April 2022 Business Enhancement Release, acquirers are required to support a token with TAVV and an ECI value 05 provided from their merchants. Further details can be found in the April 2022 Business Enhancement Release.

²³ Visa Digital Authentication Framework Issuer Performance Thresholds Non-Compliance Assessments – AP, CEMEA, Europe and LAC Regions as defined in *Visa Core Rules and Visa Product and Service Rules* Rule ID: 0030916.

²⁴ Issuer Non-Compliance Assessments (NCAs) for the DAF performance program will be effective 13 April 2024 in Japan.



For EMV 3DS, acquirers are expected to support merchant enrollment in the DAF, starting April 2022. Also, acquirers are expected to support the DAF required fields, outlined in Question 32 *"What do merchants, token requestor and/or acquirers need to do to participate?"*.

32) What do merchants, token requestors and/or acquirers need to do to participate?

General DAF participation requirement

A merchant/TR must first meet the following qualification criteria:

- Ability to provide enhanced data sharing as required in the DAF extension in EMV 3DS or VTS as appropriate (see technical requirements below)
- Acquirer support for Field 34—Acceptance Environment Data (TLV Format), Field 60.8 and Field 63.6 Position 4—Mail/Phone/Electronic Commerce and Payment Indicator in authorization is strongly recommended to receive appropriate responses²⁵
- Additional requirements apply to transactions acquired in the EEA and the UK²⁶

Upon participating in the DAF, a merchant/TR must meet the following qualification criteria:

- Maintain fraud thresholds below 10bps on DAF transactions
- Maintain fraud amount below \$100k for merchants/TRs and \$500k for multi-merchant TRs

Requirements for participation via EMV 3DS:

The merchant/TRs must:

- Support EMV 3DS 2.1 or above (support for EMV 3DS 2.2 or above is required in Europe if support for VDAP is needed)
- Provide a Visa Merchant Identifier (VMID) in the authentication request.
- Support and send the DAF message extension in each authentication in addition to the required data elements defined in the Visa Secure Program Guide Appendix A
- Provide the Cardholder Account Requestor ID in the DAF message extension

²⁵ Visa strongly recommends all acquirers activate to receive Field 60.8 in authorization response messages to ensure the correct ECI value is available to be used in clearing transactions.

²⁶ Visa Digital Authentication Framework Participation as defined in *Visa Core Rules and Visa Product and Service Rules* Rule ID: 0030762.



Requirements for participation via VTS:

The merchant/TRs must:

- Be integrated/certified to VTS through the Visa Ready program (or via another Visa-authorized TSP)²⁷
- Support the Cloud Token Framework (CTF) including Device Binding with EMV 3DS ID&V step-up option²⁸
- Enhance getPaymentData API to support additional the DAF required data fields
- Your acquirer must support TAVV authorization fields 126.8

For details, please refer to the DAF requirements for EMV 3DS in the *DAF 3DS Implementation Guides* (Issuer and Merchant), *Visa Secure Program Guide* and to DAF requirements for VTS in the *Visa Token Service e-Commerce Card-on-File Implementation Guide for Token Requestors*.

Acquirer DAF Participation:

DAF Participation through EMV 3DS: Acquirers must populate required authorization fields following authentication including Position 9-10, Mail/Phone/Electronic Commerce and Payment Indicator (Field 60.8) and Token Cryptogram (Field 126.8) and CAVV (Field 126.9) .

Please refer to the 3DS Implementation guide for the technical requirements for participation.

VTS acquirer participation: Acquirers must ensure that merchant interfaces can support the delivery of required authorization fields for tokens and authentication. Acquirers are reminded that they must include field 126.8 (Token cryptogram) and 126.9 (CAVV) in transactions to Visa, as both values may be present in a single transaction. For Token only transaction, acquirers must submit the TAVV in field 126.9.

33) How does a merchant /token requestor register for the DAF?

Merchant:

- Acquirers must register their merchants to participate in the DAF using EMV 3DS, merchants cannot self-register for EMV 3DS DAF.
- A 3DS DAF Registration Form is available on Visa Online for acquirers to register their merchants. This form should be sent to GMR@visa.com.
- Included in this form is a field where the acquirer can indicate if the merchant accepts transactions in the European region.

²⁷ In Europe, it is also required to have a dedicated/assigned Token requestor ID (TRID) registered for the DAF in Europe.

²⁸ EMV 3DS ID&V step-up option is required in Europe.



- Setting this indicator to Y will trigger the Europe region DAF review and application process. Setting this indicator to N, the merchant is enabled for EMV 3DS DAF participation in the rest of the world without being active for participation in Europe.
- Additional participation requirements apply for the DAF in Europe. Please refer to the Digital Authentication Framework FAQs – EU Supplement available on VOL
- A merchant may begin participating in the DAF outside of Europe before the European DAF registration process is completed. Note, the European merchant registration process must be completed before the merchant can participate in the DAF in Europe.
- At successful completion of the registration process, the acquirer will receive a list of Visa Merchant Identifiers (VMID) that are registered for the DAF which it must provide to its merchants. A merchant will include the VMID in the DAF EMV 3DS authentication request to allow it to be consistently identified.

Token Requestor:

There is no need for token requestors to register for the DAF outside of Europe. For any DAF transactions acquired in Europe, the token requestor must however, register their Token Registration ID (TRID) for DAF processing. More details will be published on this process later, in the meantime the token requestor should indicate the desire to register for the DAF in Europe with its Visa representative.

34) What is a VMID?

A Visa Merchant ID or VMID is a number assigned by Visa for merchants to participate in various Visa programs requiring a unique merchant identifier. A VMID is not the same as the Card Acceptor ID issued by an acquirer to a merchant.

A merchant will be assigned a single VMID for usage worldwide, no matter how many acquirers they have. Note that a VMID cannot be shared by multiple merchants.

If a merchant already has a VMID for usage with another Visa program and/or another acquirer, no new VMID will be assigned, and the merchant's existing VMID will simply need to be registered for the DAF EMV 3DS through the merchant's acquirer.

In the 3DS DAF Registration Form, there is a tab for acquirers to register their merchants where the acquirer knows the merchant's VMID. There is a separate tab for the acquirer to register their merchants where the acquirer does not know the merchant's VMID. If you are unsure of the merchant's VMID, use the second tab to register your merchant.

35) What if a merchant has multiple acquirers?

For EMV 3DS, a merchant will be assigned a VMID for each of its consumer facing brands (e.g., doing business as). A VMID can be used across different acquirers. If a merchant uses multiple acquirers, registration only needs to be completed by one acquirer.

36) What is a TRID?

The token requestor ID (TRID) is a value that uniquely identifies the token requestor, assigned by Visa.

37) Can acquirers or token requestor – token service provider (TR-TSP) enroll more than one merchant for the DAF at the same time?

Acquirers or TR-TSP that offer a solution to fulfill DAF requirements to multiple merchants and/or token requestors which they know already meet the DAF requirements can enable their merchants to use the DAF at the same time by providing:

- one VMID registration form (EMV 3DS) and/or
- one form for token requestor IDs (VTS) for registration in Europe.

Performance is monitored at a VMID/TRID level, meaning individual entities will be required to meet the DAF requirements to remain within the DAF program.

38) Will a merchant receive fraud liability protection (ECI 05) when a device bound wallet /ecommerce enabler token is accepted and processed under the DAF?

Yes. Merchants, using a wallet or ecommerce enabler activated for the DAF, will be eligible to receive an ECI 05, contingent on the transaction meeting the DAF requirements as outlined in Question 32 *"What do merchants, TRs and/or acquirers need to participate?"*.

Fraud level will be monitored at the wallet or ecommerce enabler level by default, meaning all merchants supported by the wallet or ecommerce enabler will be monitored as one. If the fraud needs to be monitored at the merchant level, then the wallet or ecommerce enabler will need to use TRID for ALL and token for token provisioning to enable this. Further details are covered in the *Visa Token Service e-Commerce Card-on-File Implementation Guide for Token Requestors* or contact your Visa AM for further guidance.

39) How does a merchant identify issuers that support the DAF using EMV 3DS?

For EMV 3DS, merchant will be able to identify which issuers BINs are supporting DAF transactions through a DAF participation indicator in the Preparation Response (Pres) message.



40) What happens when a merchant sends a DAF EMV 3DS authentication request to an issuer who does not support the DAF?

When a merchant sends a DAF EMV 3DS authentication request to an issuer who does not support the DAF, a Transaction Status = "N" and Transaction Status Reason = 88 (requested program not supported by ACS) would be returned, and no fraud liability protection would be provided to the merchant. A merchant may proceed with an EMV 3DS authentication request without the DAF.

41) What happens when a token requestor sends an authorization request to an issuer who does not support the DAF?

For VTS, issuers must support CTF as a pre-requisite to the DAF.²⁹ VTS will validate the ecommerce transaction submitted by the token requestor for DAF qualification. If validations pass, VTS will respond back to the token requestor with a TAVV, ECI = 5, and DAF indicator. Once the authorization transaction is submitted by the acquirer to VisaNet, VisaNet will validate and forward to the issuer the TAVV Results Code, ECI = 5, and DAF indicator. Issuer must process the authorization transaction and respond to VisaNet with a decision.

42) Will stored token wallets (i.e., GooglePay, SamsungPay) qualify for the DAF without EMV 3DS authentication being applied in the transaction?

As long as stored token wallets (i.e., Google Pay, Samsung Pay) fulfill the requirements outlined in Question 32 *"What do merchants, token requestors and/or acquirers need to do to participate?"*, these transactions would be viewed as "fully authenticated" under the DAF. However, Apple Pay transactions are not covered under the DAF, but are covered under April 2022 Business Enhancement Release Article 3.10.³⁰

43) Is a merchant allowed to send the same CAVV or TAVV from the first transaction that was fully authenticated in subsequent authorization requests?

CAVV and TAVV are designed to be a unique validation for each transaction. Hence, in subsequent authorization requests, merchants and token requestors should pass either the CAVV or TAVV that is returned from the authentication request for each transaction.

²⁹ In Europe, Issuers are mandated to support the option of EMV 3DS NPA Browser Based ID&V within CTF for the DAF.

³⁰ Please refer to the VBN titled "VTS Provisioning Volume Increases; Extension of ECI 05 Classification for HCE Token Transactions Outside of Digital Authentication Framework" (Article ID: AI11863) and VBN titled "Digital Authentication Framework Update and Clarifications" (Article ID: AI12019) for further details.

44) What are the DAF performance requirements for merchants/ token requestor/ multi-merchant token requestors?

Effective 23 April 2022³¹, DAF participating merchants or multi-merchant token requestors must maintain fraud performance below the thresholds indicated below.

A merchant will be identified for excessive fraud when it meets or exceeds either the Visa 3-D Secure or the Secure Token Transaction monthly thresholds for excessive Fraud Activity, as stated in the *Visa Core Rules and Visa Product and Service Rules* and indicated below.³² Calculation is based on transaction volume from the merchant, token requestor, or multi-merchant token requestor for transactions submitted globally in the preceding calendar month.

- For EMV 3DS transaction on an Account Number authenticated through the DAF, both:
 - USD \$100,000 monthly fraud amount
 - 0.10% fraud-dollar-to-sales-dollar ratio³³
- For VTS transaction on an Account Number authenticated through the DAF, both:
 - USD \$100,000 monthly fraud amount
 - 0.10% fraud-dollar-to-sales-dollar ratio³³

A multi-merchant token requestor will be identified for excessive fraud when it meets or exceeds the Token Transactions monthly thresholds for excessive Fraud Activity, as follows:

- USD \$500,000 monthly fraud amount
- 0.10% fraud-dollar-to-sales-dollar ratio³³

45) How did Visa decide that 10bps is an appropriate fraud threshold?

The fraud threshold is set at 10bps to be comparable to observed global fraud rates for EMV 3DS transaction.

³¹ Effective 15 April 2023 for merchants in Japan.

³² Visa Digital Authentication Framework Issuer Performance Thresholds– AP, CEMEA, Europe and LAC Regions as defined in *Visa Core Rules and Visa Product and Service Rules* Rule ID: 0030917. For clarification on issuer performance requirements, see question 28 “*What are the performance requirements for issuers?*”.

³³ Merchants /TRs that utilize VDAP to participate in the DAF will have to demonstrate fraud rates lower than or equal to those achieved on Issuer authenticated transactions in Europe to maintain participation in the DAF program for European domestic and intraregional transactions. As soon as this fraud rate is not met, irrespective of the monthly fraud amount, the merchant/TR will be identified for excessive fraud.

46) What happens if a merchant or a multi-merchant token requestor is above the fraud threshold performance requirements?

The following conditions will apply when a merchant or multi-merchant token requestor (as applicable) exceeds applicable fraud thresholds³⁴

Month	Non-Compliance Action
Month 1- Initial identification and confirmation of a violation	Visa issues a notification to the participating merchant, token requestor or multi-merchant token requestor (as applicable) that program fraud thresholds have been exceeded in the previous month and that it will suspend the merchant from the DAF program if the merchant is unable to meet the fraud thresholds as defined in Question 44 <i>"What are the performance requirements for merchants/ token requestor/ multi-merchant token requestors?"</i>.
Month 2-5 – Monitoring Period	Notification that non-compliance action may apply if the situation is unable to meet the fraud thresholds as defined in Question 44 <i>"What are the performance requirements for merchants/ token requestor/ multi-merchant token requestors?"</i>. Merchants or token requestors using the token requestor's token retain fraud dispute protection on DAF transactions during the Monitoring Period, but merchants/token requestors are expected to identify why they are not in compliance with the fraud thresholds and take action to address the cause. • If fraud falls below the thresholds during the Monitoring Period, the merchant/token requestor/multi-merchant token requestor will exit the Monitoring Period.
Month 6 and beyond – Enforcement Period	• Loss of fraud liability protection for the merchant(s) using tokens from the multi-merchant token requestor. • The Visa Token Service and Visa EMV 3DS Directory Server platforms will return an ECI 07 (non-authenticated transactions) instead of an ECI 05 (authenticated transactions) to merchants and TR who exceed the fraud thresholds and are identified in the Enforcement stage. • Enforcement applies when fraud exceeds both thresholds for five (5) consecutive months. • A merchant/multi-merchant token requestor may exit the Enforcement Period and re-enter the DAF program (i.e.

³⁴ Refer to Rule ID 003091 – Merchant Performance Thresholds Non-Compliance Actions.

	regain fraud dispute protection for itself/for merchants using their tokens) by demonstrating three consecutive months of global fraud performance below the re-entry fraud rate threshold on all e-commerce transactions (as no DAF transactions being processed). The re-entry fraud rate is two times the fraud rate threshold (i.e., 20 bps). • The acquirer/merchant assumes the fraud liability on transactions with an ECI 07 and issuers assume the fraud liability on transactions with an ECI 05.
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ADDITIONAL RESOURCES:

- [Visa Secure VOL page](#)
 - Visa Secure Program Guide
 - Visa Secure Issuer Implementation Guide for EMV 3-D Secure
 - Visa Secure Merchant/Acquirer Implementation Guide for EMV 3-D Secure
- [Visa Token Service VOL page](#)
 - Visa Token Service Implementation Guide for Issuer/I-TSP Participation in VDEP Solutions
 - Visa Token Service - Issuer Best Practices and Recommendations for Credential-on-File and E-Commerce Tokens
 - Visa Token Service - Issuer API Specifications
- [Digital Authentication Framework VOL page](#)
 - Digital Authentication Framework 3-D Secure Implementation Guide for Issuers
 - Digital Authentication Framework 3-D Secure Implementation Guide for Merchants/Acquirers
 - Visa EMV 3DS DAF Extension
 - 3DS DAF Merchant Registration Infosheet
 - 3DS DAF Merchant Registration Form
 - Quick Reference Guide - Digital Authentication Framework
 - Digital Authentication Framework (DAF) FAQS Europe Supplement
- [Visa Technology Partner page](#)
 - Visa's EMV 3DS Compliant Product List